

GOVERNMENT OF ANDHRA PRADESH
ABSTRACT

Industries & Commerce Department – Policy for Establishment of Micro, Small and Medium Enterprises (MSME) Parks M- Parks in Each Assembly Constituency – M-Parks Policy 2018-23 - Orders – Issued.

INDUSTRIES & COMMERCE (Programme-I) DEPARTMENT

G.O.Ms.No.70

Dated: 31 -05-2018
Read the following:

- (1) G.O.Ms.No.53, Industries & Commerce (Programme-I) Department, dated 23-07-2015.
(2) From the Commissioner of Industries, Single File No. 21/2017/15909.

ORDER

1. In the G.O. 1st read above, the State Government have instituted a specific Micro, Small and Medium Enterprises (MSME) policy 2015-20 and has provided for various concessions and support mechanisms to promote MSME sector. In addition to fiscal concessions, this policy provides for infrastructure support, stipulating that dedicated MSME Parks shall be established in each district.

2. Government have decided to extend this infrastructural support by developing MSME clusters/parks in all 175 Assembly Constituencies in each park. It was also decided to acquire private land wherever required when suitable Government land is not available. Revenue Department shall transfer land free of cost to the Implementing Government Agency.

3. In this regard, the Government have instituted a new policy for providing infrastructural support to MSMEs titled **Policy for Establishment of MSME Parks (M-Parks) in each Assembly Constituency or M-Parks Policy 2018-23**. The detailed policy is appended in Annexure.

4. The salient features of M-Parks Policy 2018-23 (hereinafter referred to as “the Policy”) are as follows:

(a) Key Objectives of M-Parks Policy are

- (i) Providing infrastructural spaces to MSMEs for fostering their growth by leveraging economies of scale in infrastructure provision and utilization
- (ii) Encouraging private sector in addition to public sector to promote industrial infrastructure.
- (iii) Facilitating development of parks with around 60% of the area as allocable area for Enterprises, excluding area for common facilities and infrastructure.

(P.T.O)

- (iv) Incentivizing Park Developers to provide support to MSMEs setting up operations in the parks for Access to Credit, Detailed Project Report Preparation and Regulatory Facilitation for various clearances and approvals.

(b) Key Targets

- (i) M-Parks Policy 2018-23 will target to create at least an MSME park in each of the 175 Assembly Constituencies in the next five years by 2022 with initiation of around 40 parks in each year.
- (ii) In total, M-Parks Policy will target creation of 200 parks by 2023 with around 30,000 MSMEs with an employment potential for 3,00,000 people and an investment of Rs. 45,000 Crores by MSMEs.

(c) **Validity:** This Policy is valid from the date of notification up to March 31st 2023.

(d) **Nodal Agency:** Andhra Pradesh Micro, Small and Medium Enterprises Development Corporation shall be the Nodal Agency for implementing M-Parks Policy.

(e) **Park Extent:** The extent of land shall be around 100 Acres but not less than 25 Acres, and such land shall be preferably contiguous. However, non-contiguous and proximate land parcels, which have a potential to be developed as a single MSME park reaping economies of scale in infrastructure provision, may also be considered for this project.

(f) **Anchor Investor:** The Executing Agencies may allocate up to a maximum of 10% of allocable area in each park for Large Enterprises whose investment in plant and machinery is higher than Rs. 50 Crores. It is envisaged that these Enterprises will act as Anchor Investors in these Parks. Allocable Area is defined as area available for Enterprises to set up their facilities, excluding area used for common infrastructure and facilities.

(g) **Models:** Development of MSME Parks will be taken up in three models:

- (i) **Andhra Pradesh Industrial Infrastructure Corporation Limited Model:** APIIC as Executing Agency.
- (ii) **Private Developer Model:** A Private Developer as Executing Agency, with land procured by Private Developer.
- (iii) **PPP Model:** A Private Developer as Executing Agency along with Andhra Pradesh Industrial Infrastructure Corporation Limited / Andhra Pradesh Industrial Development Corporation Limited or any other Government agency, with the park developed through Public Private Partnership Model.

(h) Fiscal Incentives

- (i) **Infrastructure Subsidy:** Executing Agencies will be eligible for a subsidy of 50% of Infrastructure Development Cost, up to a maximum of Rs. 10 Lakhs per acre.
- (ii) **Infrastructure Subsidy Release Pattern:** Infrastructure Subsidy for each park shall be released in the following pattern subject to conditions specified:

(Contd..3)

1. First installment of 10% of the Subsidy after Executing Agency incurring 5% of Infrastructure Development Cost as expenditure.
2. Second installment of 30% of the Subsidy after Executing Agency incurring 30% of the Infrastructure Development Cost as expenditure and Executing Agency allotting 10% of the allocable area to Micro, Small and Medium Enterprises.
3. Third installment of 30% of the Subsidy after Units corresponding to 15% of allocable area commencing production.
4. Fourth installment of 30% of the Subsidy after Units corresponding to 30% of allocable area commencing production and Executing Agency completing the development of infrastructure as per approved Detailed Project Report.

(iii) **Investment Based Incentives:** Executing Agencies shall also be provided Investment Based Incentives corresponding to 2% of investment to be made by Micro, Small and Medium Enterprises who have commenced production in plant and machinery within 24 months of date of approving this project.

(iv) **Land Conversion Charges:** Executing Agencies shall be eligible for 100% reimbursement of Land Conversion Charges incurred in converting agricultural land to industrial land.

(i) Reservation of Allocable Area for parks developed by APIIC or Government Agencies:

(i) Each park's Subsidy shall be funded 50% from General Budget and 50% from Sub Plan Budgets either from Department of Industries & Commerce or from Welfare Corporations like ST/SC/BC/Kapu/Brahmin/Minorities Welfare Corporations, as follows:

- (1) 5% from Scheduled Tribes Sub Plan
- (2) 15% from Scheduled Castes Sub Plan
- (3) Remaining 30% from Backward Classes /Brahmin /Minorities / Kapu/Brahmin Welfare Corporations.

(ii) Reservation in each park, measured in allocable area available for MSMEs, shall be proportional to the ratio of funding from general budget and category-specific earmarked budgets.

(iii) This reservation shall be applied at district level based on population and not at the level of each park.

(iv) The reservation of area for specific categories shall cease after a five (5) year period from the date of first allotment made in the park.

(v) The reservation percentages and funding shall be agreed-upon by Nodal Agency, Executing Agency and Welfare Corporations, before finalizing the Detailed Project Report.

(Contd..4)

(vi) As Parks in Scheduled Areas have to be populated with MSMEs owned by Scheduled Tribes, the entire Subsidy for such parks shall be provided by Tribal Sub Plan.

5. The Commissioner of Industries, Vijayawada, is requested to draft necessary operating guidelines for this Policy.

6. The Vice Chairman & Managing Director, Andhra Pradesh Industrial Infrastructure Corporation and Chief Executive Officer, Andhra Pradesh Micro, Small and Medium Enterprises Development Corporation are requested to take necessary action as per this policy.

7. This order is issued with the Concurrence of Finance Department, vide Secretary Finance (Exp) Note #75 in File No. INDS-14023/8/2016-PROG I-INDS, Dtd.10.02.2018.

(BY ORDER AND IN THE NAME OF GOVERNOR OF ANDHRA PRADESH)

SOLOMON AROKIJARAJ
SECRETARY TO GOVERNMENT & CIP

To

The Commissioner of Industries, A.P., Vijayawada.

The CEO, APMSME Development Corporation.

The VC&MD, APIIC. Ltd., Vijayawada.

The VC & MD APIDC Ltd. Vijayawada.

Copy to:

G.A(Cabinet) Department.

All District Collectors.

The Revenue (CT-II) Department.

The Revenue (LA) Department.

The Tribal Welfare Department.

The BC Welfare Department.

The WCD &DW Department.

The Minorities Welfare Department.

The Social Welfare Department.

The Managing Director, Andhra Pradesh State Kapu Welfare & Development Corporation, Vijayawada.

The Chairman Andhra Pradesh Brahmin Welfare Corporation, Vijayawada.

The Energy, I&I Department.

The Finance (FMU-Rev-I&C) Department.

The Law (H) Department.

Ind. & Com. (Infra & P&I) Department.

P.S to Prl. Secretary to Hon'ble C.M.

P.S to Hon'ble Minister for Industries & Commerce.

P.S to C.S to Government.

P.S to Secretary to Government & CIP.

Sf/Sc

//FORWARDED::BY ORDER//

SECTION OFFICER

ANNEXURE

M-Parks Policy 2018-23

Policy for Establishment of MSME Parks
(M-Parks) in Each Assembly Constituency



DEPARTMENT OF INDUSTRIES & COMMERCE
GOVERNMENT OF ANDHRA PRADESH

CONTENTS

1	Background	1
2	Key Objectives & Targets	1
3	Validity	2
4	Nodal Agency	2
5	Anchor Investor(s)	2
6	Three Models for Park Development	2
6.1	APIIC Model	3
6.2	Private Developer Model	3
6.3	Common Features for APIIC Model and Private Developer Model	3
6.3.1	Functions of Executing Agency	3
6.3.2	Financial Incentives	4
6.3.3	Reservation of Allocable Area	5
6.3.4	Approval and Implementation Process	5
6.3.5	Timelines	6
6.3.6	Delays and Compensation.....	6
6.4	PPP Model.....	6
7	Common Features for All Models	6
8	Operational Guidelines	7
9	Annual Review.....	7

1 BACKGROUND

1. MSME sector accounts for lion's share of employment generation in the state and the country. Given this significance, the State Government has instituted a specific MSME policy 2015-20 and has provided for various concessions and support mechanisms to be provided to promote MSME sector.
2. In addition to fiscal concessions, this policy provides for infrastructure support, stipulating that dedicated MSME Parks shall be established in each district and an extent of 15% of total area of land in any two of developed industrial parks of APIIC in every district shall be reserved for MSMEs, which shall not be less than 40 acres of developed land in each district.
3. Government has decided to extend this infrastructural support by developing MSME clusters/parks in all 175 Assembly Constituencies. It was also decided to acquire private land wherever required when suitable Government land is not available. Revenue Department shall transfer land free of cost to the Implementing Government Agency.
4. In this regard, the Government has instituted a new policy for providing infrastructural support to MSMEs titled **“Policy for Establishment of MSME Parks (M-Parks) in each Assembly Constituency 2018-23 ” or M-Parks Policy 2018-23.**

2 KEY OBJECTIVES & TARGETS

5. Key Objectives of M-Parks Policy are
 - a. Providing infrastructural spaces to MSMEs for fostering their growth by leveraging economies of scale in infrastructure provision and utilization
 - b. Encouraging private sector in addition to public sector to promote industrial infrastructure
 - c. Facilitating development of parks with around 60% of the area as allocable area for Enterprises, excluding area for common facilities and infrastructure.
 - d. Incentivizing Park Developers to provide support to MSMEs setting up operations in the parks for Access to Credit, DPR Preparation and Regulatory Facilitation for various clearances and approvals.

6. Key Targets

- a. M-Parks Policy 2018-23 will target to create at least an MSME park in each of the 175 Assembly Constituencies in the next five years by 2022 with initiation of around 40 parks in each year.
- b. In total, M-Parks Policy will target creation of 200 parks by 2023 with around 30,000 MSMEs with an employment potential for 3,00,000 people and an investment of Rs. 45,000 Crores by MSMEs.

3 VALIDITY

7. This Policy is valid from the date of notification up to March 31st 2023.

4 NODAL AGENCY

8. AP MSME Development Corporation shall be the Nodal Agency for implementing M-Parks Policy.

5 ANCHOR INVESTOR(S)

9. The Executing Agencies may allocate up to a maximum of 10% of allocable area in each park for Large Enterprises whose investment in plant and machinery is higher than Rs. 50 Crores. It is envisaged that these Enterprises will act as Anchor Investors in these Parks. Allocable Area is defined as area available for Enterprises to set up their facilities, excluding area used for common infrastructure and facilities.

6 THREE MODELS FOR PARK DEVELOPMENT

10. Development of MSME Parks will be taken up in three models:
 - a. **APIIC Model:** APIIC as Executing Agency
 - b. **Private Developer Model:** A Private Developer as Executing Agency, with land procured by Private Developer
 - c. **PPP Model:** A Private Developer as Executing Agency along with APIIC/APIIDC or any other Government agency, with the park developed through Public Private Partnership Model

6.1 APIIC Model

11. **Executing Agency:** APIIC is designated as Executing Agency under this Model.
12. **Land Identification and Alienation:** Land will be identified by APIIC and Revenue department in consultation with Nodal Agency. The extent of such parcels shall be around 100 Acres but not less than 25 Acres in each Assembly Constituency, which are preferably contiguous. However, non-contiguous and proximate land parcels, which have a potential to be developed as a single MSME park reaping economies of scale in infrastructure provision, may also be considered for this project.
13. **Land Allotment to MSMEs:** The pricing of developed land parcels in APIIC developed MSME Parks shall be in such a way that the parcels are affordable to MSMEs and as specified, in operating guidelines.

6.2 Private Developer Model

14. **Executing Agency:** Any Private Developer, including an SPV formed by MSMEs coming together, shall be eligible to apply under this Model.
15. **Land Procurement:** The private developer shall either procure the land by itself or buy from APIIC. Alternately, the land may be taken on lease for a period not less than 33 years. The extent of land shall be around 100 Acres but not less than 25 Acres, and such land shall be preferably contiguous. However, non-contiguous and proximate land parcels, which have a potential to be developed as a single MSME park reaping economies of scale in infrastructure provision, may also be considered for this project.
16. When land is procured from APIIC, APIIC shall provide land to Developers as per APIIC regulations, without levying administrative/service charges.

6.3 Common Features for APIIC Model and Private Developer Model

6.3.1 Functions of Executing Agency

17. **Functions of Executing Agency:** The Executing Agency shall undertake the following functions:
 - a. To formulate Detailed Project Report with around 60% of the area earmarked to be allotted to Enterprises.

- b. To procure land and execute the project/park in a transparent, efficient and timely manner
- c. To undertake marketing of the park to potential sectors and enterprises
- d. To support MSMEs populating the park through facilitation of credit from financial institutions, DPR Preparation and getting required approvals/clearances from Government.
- e. To maintain common infrastructure including common facilities either through constitution of an Industrial Area Local Authority (IALA) or by themselves
- f. To submit Utilization Certificates, as specified in these guidelines, in stipulated timelines.

6.3.2 Financial Incentives

18. **Infrastructure Development Cost:** Infrastructure Development Cost, as referred to, in this policy refers to cost of developing external connecting infrastructure to the park such as power, water etc., and the cost of developing internal infrastructure of the park and shall not include Land Cost. These specifications will be detailed in operating guidelines.
19. **Infrastructure Subsidy:** Executing Agencies will be eligible for a subsidy of 50% of Infrastructure Development Cost, up to a maximum of Rs. 10 Lakhs per acre.
20. **Infrastructure Subsidy Release Pattern:** Infrastructure Subsidy for each park shall be released in the following pattern subject to conditions specified:
 - a. First installment of 10% of the Subsidy after Executing Agency incurring 5% of Infrastructure Development Cost as expenditure
 - b. Second installment of 30% of the Subsidy after Executing Agency incurring 30% of the Infrastructure Development Cost as expenditure and Executing Agency allotting 10% of the allocable area to MSMEs
 - c. Third installment of 30% of the Subsidy after Units corresponding to 15% of allocable area commencing production
 - d. Fourth installment of 30% of the Subsidy after Units corresponding to 30% of allocable area commencing production and Executing Agency completing the development of infrastructure as per approved Detailed Project Report.
21. **Investment Based Incentives:** Executing Agencies shall also be provided Investment Based Incentives corresponding to 2% of investment to be made by MSMEs who

have commenced production in plant and machinery within 24 months of date of approving this project.

22. **Land Conversion Charges:** Executing Agencies shall be eligible for 100% reimbursement of Land Conversion Charges incurred in converting agricultural land to industrial land.

6.3.3 Reservation of Allocable Area

23. **Reservation of Allocable Area for parks developed by APIIC or Government Agencies:**

- a. Each park's Subsidy shall be funded 50% from General Budget and 50% from Sub Plan Budgets either from Department of Industries & Commerce or from Welfare Corporations like ST/SC/BC/Kapu/Brahmin/Minorities Welfare Corporations, as follows:
 - i. 5% from Scheduled Tribes Sub Plan
 - ii. 15% from Scheduled Castes Sub Plan
 - iii. Remaining 30% from Backward Classes /Brahmin /Minorities / Kapu/Brahmin Welfare Corporations
- b. Reservation in each park, measured in allocable area available for MSMEs, shall be proportional to the ratio of funding from general budget and category-specific earmarked budgets.
- c. This reservation shall be applied at district level based on population and not at the level of each park.
- d. The reservation of area for specific categories shall cease after a 5 year period from the date of first allotment made in the park.
- e. The reservation percentages and funding shall be agreed-upon by Nodal Agency, Executing Agency and Welfare Corporations, before finalizing the Detailed Project Report.
- f. As Parks in Scheduled Areas have to be populated with MSMEs owned by Scheduled Tribes, the entire Subsidy for such parks shall be provided by Tribal Sub Plan.

6.3.4 Approval and Implementation Process

24. The detailed operating guidelines for approval and implementation process shall be issued separately.

6.3.5 Timelines

25. Every Park shall be completed within a span of 24 months from the point of receiving approval from competent authority.

6.3.6 Delays and Compensation

26. **Project Delays:** If there is a delay in project implementation, as per agreed-upon project schedule, beyond 2 months by Executing Agency, there will be a reduction of 5% in corresponding installment of Subsidy applicable for every month of delay.
27. **Disbursement Delays:** If there is a delay in disbursement of Subsidy from Nodal Agency beyond 2 months, Executing Agency will be eligible for 5% of corresponding installment of Subsidy applicable for every month of delay as compensation.

6.4 PPP Model

28. **Executing Agency:** A Private Developer to be chosen through a competitive bidding process. The operational guidelines of this Model will be notified separately.

7 COMMON FEATURES FOR ALL MODELS

29. **Concessions under Various Policies and Programmes:** MSMEs setting up their enterprises in the Parks and Developers will continue to be eligible for all concessions/incentives provided in various policies and programmes of Government of Andhra Pradesh as well as Government of India.
30. **Operational User Charges:** The Executing Agency by itself, or through constitution of an IALA, may levy appropriate operational user charges for recouping operational maintenance costs of running the park.
31. **Withdrawal of Executing Agency:** If an Executing Agency withdraws from developing the park as per the approved Project Schedule, the Executing Agency shall be liable to pay back the received Subsidy with an interest of 12% per annum and any penal interest levied as per operational guidelines instituted.

8 OPERATIONAL GUIDELINES

32. Detailed operational Guidelines will be issued separately.

9 ANNUAL REVIEW

33. Nodal Agency will institute an Annual review of the Policy and make necessary recommendations to the Government.

SOLOMON AROKIARAJ
SECRETARY TO GOVERNMENT & CIP